

Privileged Issues

WE COME now to the second major division of our revised classification of securities, *viz.*, bonds and preferred stocks presumed by the buyer to be subject to substantial change in principal value. In our introductory discussion (Chap. 5) we subdivided this group under two heads: those issues which are speculative because of inadequate safety, and those which are speculative because they possess a conversion or similar privilege which makes possible substantial variations in market price.¹

SENIOR ISSUES WITH SPECULATIVE PRIVILEGES

In addition to enjoying a prior claim for a fixed amount of principal and income, a bond or preferred stock may also be given the right to share in benefits accruing to the common stock. These privileges are of three kinds, designated as follows:

1. Convertible—conferring the right to exchange the senior issue for common stock on stipulated terms.
2. Participating—under which additional income may be paid to the senior security holder, dependent usually upon the amount of common dividends declared.
3. Subscription—by which holders of the bond or preferred stock may purchase common shares, at prices, in amounts, and during periods, stipulated.²

¹ In the 1934 edition we had here a section on investment-quality senior issues obtainable at bargain levels. Although these were plentiful in the 1931–1933 period, they have since grown very scarce—even in the market decline of 1937–1938. To save space, therefore, we are now omitting this section.

² There is still a fourth type of profit-sharing arrangement, of less importance than the three just described, which made its first appearance in the 1928–1929 bull market. This is the so-called “optional” bond or preferred stock. The option consists of taking interest or dividend payments in a fixed amount of common stock (*i.e.*, at a fixed price per share) in lieu of cash.